the trade. Although it was interesting learning about options, by the end of the summer, I knew that I had no interest in trading options for a living.

What did you do after the summer job?

I got a job as an analyst for a startup risk arbitrage firm called Halcyon Investments. There were three partners, and I was the only analyst. They offered me $22,000, which was about half the going rate for MBAs at the time. I jumped at it because I loved the idea of being the only analyst in a startup firm. I thought I could learn a lot.

Wasn't the fact that you had no experience at all in merger arbitrage an impediment to getting the job?

Well, at $22,000, they clearly weren't willing to spend much money and weren't looking for an experienced analyst. I hoped they were just looking for someone with potential.

What year was this?

I started December 1981.

Ironically, you began your career right before a major bottom in the stock market.

It was interesting. At that time, not many people were looking to go to Wall Street because the market hadn't gone up for 13 years.

What were your experiences in your first job?

At the time, merger arbitrage was the Wild West. There were great inefficiencies and plenty of opportunities, so that even a pedestrian year might be a 60 percent to 80 percent return.

Was this just doing plain vanilla merger arbitrage?

We did do straight risk arbitrage, and there were wide spreads available. But I was never that attracted to the risk/reward in risk arbitrage. In the Ben Graham approach, if you pay a cheap price for something, you have asymmetric returns on the upside because you can't lose that much, but you still have large profit potential. Risk arbitrage is exactly the opposite. In risk arbitrage you're trying to make $1 or $2 if the merger goes through, but risking $10 or $20 if the deal breaks. Instinctively, I didn't